

CUI

Control No: 25-019

Contractor: Savi Technology Inc.

Supply/Service: ADA Application Software Maintenance and Support

Est Dollar Value: [REDACTED]

**JUSTIFICATION REVIEW DOCUMENT
FOR LIMITED SOURCE JUSTIFICATION**

Supply/Service: Ammunition Depot Automation (ADA) Software Maintenance and Support

Authority: Federal Acquisition Regulation (FAR) 8.405-6(a)(1)(i)(B)

Prepared by: Claire Weinrich
Contract Specialist
Email: Claire.i.Weinrich.civ@army.mil PN: (520) 715-1238

Contracting Officer: Molly Lewis
Contracting Officer
Email: Molly.j.lewis4.civ@army.mil PN: (571) 588-8590

Reviews: I have reviewed this justification and find it adequate to support limiting competition.

Controlled by: Army Contracting Command – Rock Island / OQB
CUI Category: BUDG, PROCURE, PROPIN
Distribution Statement: FED ONLY
POC: Molly J. Lewis, molly.j.lewis4.civ@army.mil, (571) 588-8590

**Department of the Army
Limited Source Justification
Order under General Services Administration
Multiple Award Schedules**

1. Contracting Activity: U.S. Army Contracting Command – Rock Island (ACC-RI), Rock Island Arsenal, Rock Island, IL 61299-8000.

2. Description of Action: The Joint Munitions Command (JMC) requests a firm-fixed price task order under General Services Administration (GSA) with Savi Technology Inc. (Savi) for the Ammunition Depot Automation (ADA) application software maintenance and support. This acquisition is conducted under the authority of the Multiple Award Schedules Program. ACC-RI will execute this action against Federal Supply Schedule contract GS-35F-410AA. ACC-RI projects award for [REDACTED] Operations and Maintenance and Army Working Capital funds will be used. An acquisition plan is not required because this procurement does not meet the threshold at Defense Federal Acquisition Regulation Supplement 207.103(d)(i)(B).

The Government did not compete the requirement prior to this action, under the authority of Federal Acquisition Regulation (FAR) 8.405-6(a)(1)(i)(B), as supported by Limited Source Justification (LSJ) 20-034. That justification's paragraph 7, Actions to Increase competition stated:

Savi has the rights to all of the ADA Applications. When this legacy ADA hardware is modernized i.e. migrating to an IOS (Apple) or Android environment, competition may be possible. Additional market research will be conducted before any subsequent acquisitions for these services.

Those actions were accomplished by ACC-RI inquiring with Savi about the modernization to IOS or Android environments in January 2025. Savi confirmed that they have begun a migration to Android handheld devices; however, this mitigation did not result in increased competition as anticipated. Savi continues to own the rights to all of the applications making up ADA, which makes other sources unable to meet the Government's requirements as Savi has confirmed that they are not willing to sell or subcontract these rights. When the previous LSJ was being completed, JMC had provided the belief that competition could be possible with a migration. However, JMC has recognized that they did not have a full understanding of the ADA applications, including Savi's ownership rights and possible system/process changes coming in the future. Thus, even with migration, competition would not be possible due to the ownership rights of Savi. Also, additional market research was conducted to see if there were additional sources that could meet this requirement, which is further discussed in paragraph 6.

3. Description of Supplies/Services Description of Supplies/Services: The service being provided is technical support for the sustainment and maintenance of ADA for all

eight JMC ammunition depots. The ADA software is used in conjunction with the Government's Logistics Modernization Program (LMP) system. LMP is one of the current Enterprise Resource Planning (ERP) systems that JMC utilizes to manage their munitions. The ADA software is a specialized custom-coded set of programs developed by Savi to automate and execute the functional requirements of the ammunition processes associated with asset receipt/inventory management and transportation missions at the ammunition depots. The ADA software consists of three applications: Key Controls, Stockpile Inventory List Comparator (SILC), and Munitions Total Management System-Field Module Mobile (MTMS-FM Mobile) (Note: LSJ 20-034 included Joint Munitions Barcode Labeler as one of the applications; however, it will not be supported for this requirement due to LMP being able to perform some of the same capabilities). These three applications are specifically designed to 1) automate documentation and recordkeeping activities associated with depot shipping and transportation activities, and [REDACTED]

[REDACTED]

The proposed task order will include a base period of performance from [REDACTED] through [REDACTED] JMC estimates a dollar value of [REDACTED] inclusive of all options, based on the Independent Government Estimate.

[REDACTED]

4. Authority Cited: FAR 8.405-6(a)(1)(i)(B). [REDACTED] source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized.

5. Reason for Authority Cited: Savi has provided the ADA services to JMC since they were first utilized at JMC Depots, which was over 20 years ago. All business software functionality and features used in ADA were originally designed, developed, and deployed by Savi, giving them exclusive rights to the applications. While it was previously thought that the integration to IOS (Apple) or Android platforms may increase

possible competition, the ADA hardware has begun a migration of the application to Android handheld interrogators, and it has not shown to increase possible competition. This is due to the rights still being held solely by Savi and the Government's inability to compete or buy the licensing rights from them. This exclusivity makes Savi's ADA applications the only software that is interoperable with the Government's LMP system. In January 2025, ACC-RI approached Savi about selling their licensing rights to which Savi provided written communication back stating they were not willing to sell these rights.

Since Savi developed the applications for the ADA programs, Savi is the only contractor that possesses the knowledge, skills, and abilities to provide the maintenance, testing, documentation, and problem resolution needed to support the ADA software as the rules and parameters Savi built for these applications are unique and very complex. These include:

- a. **Key Control:** Savi originally developed and has exclusive rights to the Key Control application and is the only vendor able to support it. This application allows physical storage sites to digitize the physical key control process. Army regulations require a Key Control Register and Inventory document, otherwise known as a Department of the Army (DA) FORM 5513, to be filled out for keys and Key Control allows for the digital signature using the users Common Access Card and the tracking of keys to be utilized. [REDACTED]
- b. **SILC:** Savi originally developed and has exclusive rights to the SILC application and is the only vendor able to support it. This desktop application is designed to improve productivity in U.S. Army ammunition inventory management operations and has two primary functions: 1) To enhance user productivity during the physical inventory process and 2) To automatically reconcile the physical inventory by providing a higher level of accuracy than manual processes. SILC produces an output file that is used for updating the LMP record.
- c. **MTMS-FM Mobile:** Savi originally developed and has exclusive rights to the MTMS-FM Mobile application and is used at all JMC depots to assist with receiving, storing, documenting inventory, and shipping ammunition. FM Mobile is a software application that resides on JMC's handheld scanners and is fully integrated with LMP. [REDACTED]

In addition, the memorandum from Under Secretary of the Army, subject 'Current Enterprise Resource Planning (ERP) Systems Capability Support', dated 07 October 2022, stated the Army will remain reliant on their current systems, which consists of LMP, as they modernize into an Enterprise Business System-Convergence (EBS-C). If successful, EBS-C will subsume LMP and integrate Automatic Identification Technology (AIT) which would allow for competition if ADA is still needed after program testing is done between 2026 and 2031 by the PM-EBS-C office.

On 06 November 2024, [REDACTED] of ERP Sustainment, stated the initial rollout of the EBS-C systems is to begin in [REDACTED] with complete implementation by [REDACTED] also confirmed in February 2025 that these dates and facts were still accurate. As such, it is not in the Government's best interest to compete this requirement as selecting a different contractor would require the Army to test another software's interoperability with LMP, which would result in substantial duplication of cost and significant delay. Based on observations by JMC to onboard new developers, JMC estimates a new contractor would need an additional [REDACTED] and approximately [REDACTED] to replicate and implement new application software into LMP. This encompasses soliciting and awarding a new contract, creating and integrating the new application software into LMP, and training JMC on how to use the new application software.

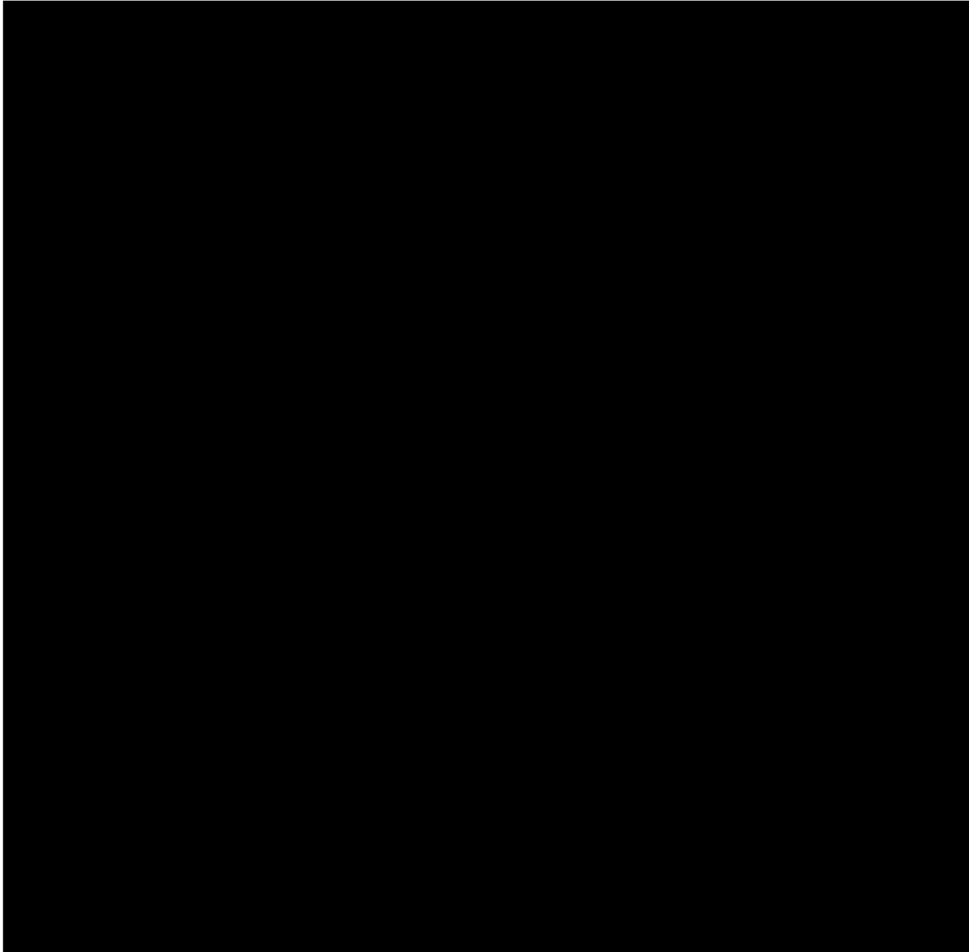
[REDACTED]

6. Market Research: In an effort to find additional sources, on 18 December 2024, ACC-RI posted a Sources Sought announcement on SAM.gov that closed on 24 December 2024. This announcement was seeking a source that could match or exceed the three requirements in the Performance Work Statement (PWS), including the Key Control, SILC, and MTMS-FM Mobile capabilities. [REDACTED] responses were received as a result of the Source Sought; however, only Savi was able to meet the licensing requirements needed to support and sustain the ADA application software. Although the other [REDACTED] companies offered an alternate solution, it did not meet the current Government's requirements due to interoperability issues with LMP. The following is a listing of the companies that provided a response to the Sources Sought:

[REDACTED]

Additionally, on 6 January 2025, ACC-RI posted a Request for Information (RFI) on GSA.gov that closed on 10 January 2025. This announcement was also seeking a source that could match or exceed the three requirements in the PWS, including the Key

Control, SILC, and MTMS-FM Mobile capabilities. [REDACTED] responses were received from the RFI; however, the alternate solutions provided by these companies did not meet the Government's requirement due to interoperability issues with LMP. The following is a listing of the companies that provided a response to the RFI:



Although Savi did not provide a response to the GSA.gov RFI, it did provide a response to the SAM.gov Sources Sought that explained their specialized capabilities with ADA for the past 20 years. Since ACC-RI recognized this was previously procured through GSA, the Contract Specialist then confirmed on the GSA Federal Supply Schedule catalog that the ADA Application Software maintenance and support is available against Savi's GSA contract GS-35F-410AA.

In summarization, due to Savi owning the licensing rights to all of the requirements and not being willing to sell those rights, all respondents, except for Savi, are not able to meet the requirement.

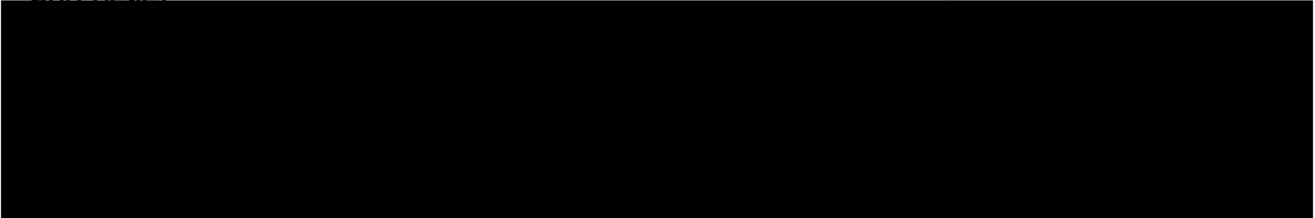
7. Actions to Increase Competition: Since Savi continues to hold the rights to all of ADA, it is unlikely that any actions will increase competition until Savi agrees to sell or

subcontract the rights, or the systems are subsumed by EBS-C, which is expected in 2031. However, the Government will continue to perform market research to locate additional, viable vendors for future requirements.

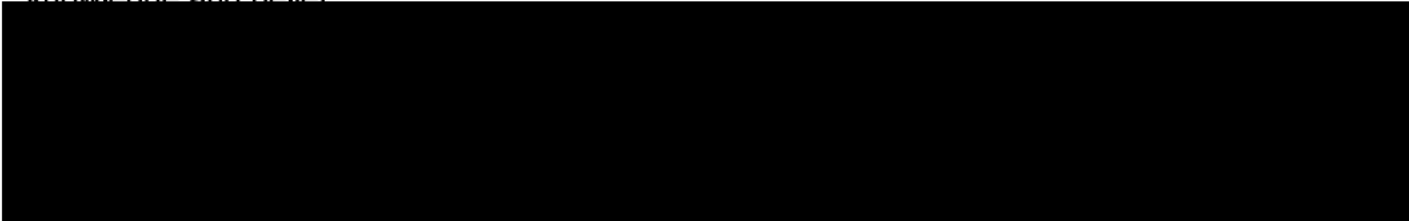
8. Procurement History:

Contract Vehicle/Contract Type	Contract Number	Award Date	Authority if restricted/LSJ Control No.	Awardee/ Contractor	Current Award Expires	Dollar Value
Sole Source	W52P1J-20-F-0228	10 Mar 2020	IAW FAR 8.405-6(a)(1)(i)(B) N - 20-034	Savi	09 Mar 2025	[REDACTED]
Sole Source	W52P1J-15-F-0016	10 Mar 2015	IAW FAR 8.405-6(a)(1)(i)(B) N - 14-562	Savi	09 Mar 2020	[REDACTED]
Sole Source	W52P1J-12-F-0003	07 Mar 2012	IAW FAR 8.405-6(a)(1)(i)(B) N - 11-014	Savi	09 Mar 2015	[REDACTED]
Sole Source	W52P1J-11-A-0008	09 Mar 2011	IAW FAR 8.405-6(a)(1)(i)(B) N - GSA-11-03	Savi	N - Unknown	N - Unknown
Sole Source	W52P1J-08-F-3007	29 Jan 2008	IAW FAR 8.405-6(a)(1)(i)(B) N - Unknown	Savi	N - Unknown	N - Unknown
Sole Source	DABLO1-03-D-I 002	01 Jun 2003	IAW FAR 8.405-6(a)(1)(i)(B) N - Unknown	Savi	N - Unknown	N - Unknown
Sole Source	DAAB07-97-D-V007	01 Oct 2004	IAW FAR 8.405-6(a)(1)(i)(B) N - Unknown	Savi	N - Unknown	N - Unknown

9. Technical Certification: I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief.



10. Requirements Certification: I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief.



11. Best Value Determination: I hereby determine that the task order represents the best value to the Government IAW FAR 8.405-6(c)(2)(v).

Date: 05 March 2025

LEWIS.MOLLY.  Digitally signed by
LEWIS.MOLLY.J.1286443059
J.1286443059 Date: 2025.03.05 13:07:57
-06'00'

Molly J. Lewis
Contracting Officer

12. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Date: 05 March 2025

LEWIS.MOLLY.  Digitally signed by
LEWIS.MOLLY.J.1286443059
J.1286443059 Date: 2025.03.05 13:09:01
-06'00'

Molly J. Lewis
Contracting Officer

CUI

Control No: 25-019

Contractor: Savi Technology Inc.

Supply/Service: ADA Application Software Maintenance and Support

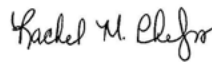
Est Dollar Value: [REDACTED]

Approval

Based on the foregoing justification, I hereby approve the procurement of ADA application software maintenance and support under GSA Multiple Award Schedules on a limited source basis pursuant to the authority of FAR 8.405-6(a)(1)(i)(B) subject to availability of funds, and provided that the services or supplies herein described have otherwise been authorized for acquisition.

Date:

Signature:



Digitally signed by
PHELPS.RACHEL.M.12583
19865
Date: 2025.03.07 09:15:56
-06'00'

RACHEL M. PHELPS
Competition Advocate